Chan Charts
Daily crypto chart quiz

FREE GUIDE #02

How to Draw Trendlines

Draw them the right way and trade the break and retest



Practice this daily

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What a trendline is

A trendline connects the **higher lows** in an uptrend (or the **lower highs** in a downtrend). It shows the path buyers or sellers are defending.



- 2 touches draw a line. **3 touches confirm it.**
- The more touches, the more traders are watching it.
- A clean close through the line = trend may be changing.

DRAWING

Good line vs bad line

✓ Touches 3 wicks



✗ Forced through bodies



- [ ] Connect **wicks** (or bodies) consistently. Pick one method.
- [ ] Never force the line through candle bodies to make it fit.
- [ ] Start on the higher timeframe (4h), then refine on 1h.
- [ ] Too steep? It will break soon. 30 to 45 degree lines last longer.

THE SETUP

Break, retest, continuation

The highest-quality trendline trade is not the first break. It is the **retest** after the break.



1. **Break**
   A candle closes clearly on the other side of the line
2. **Retest**
   Price comes back to touch the line from the other side
3. **Entry**
   Enter on rejection at the line. Stop goes on the other side of the retest wick

CHECKLIST

Trendline trade checklist

- [ ] Line has at least 3 clean touches
- [ ] Break is a candle **close**, not just a wick
- [ ] Retest shows rejection (wick or engulfing candle)
- [ ] Stop loss beyond the retest high/low
- [ ] Target at the next support/resistance level
- [ ] Reward is at least 2x the risk

REMEMBER

A trendline is a zone, not a laser. Give it a little room.



Now test yourself.

Reading a guide is step one. Spotting the setup on a live chart, fast, is the real skill. That is what the daily quiz trains.

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